Doctoral degree

Specification	Year FE	+ Client FE	+ Audit firm FE
Audit failure			
Separate regression	0.0068	0.0057	0.0054
	(0.0083)	(0.0095)	(0.0095)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0172	0.2269	0.2334
Outcome mean (separate)	0.0406	0.0406	0.0406
Joint regression	0.0090	0.0079	0.0077
	(0.0087)	(0.0099)	(0.0099)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0179	0.2272	0.2336
Outcome mean (joint)	0.0406	0.0406	0.0406
Doctorate vs. below bachelor	0.0001	-0.0007	-0.0006
	(0.0086)	(0.0098)	(0.0099)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0175	0.2271	0.2336
Outcome mean (categories)	0.0406	0.0406	0.0406
Restatement			
Separate regression	0.0069	0.0041	0.0029
	(0.0058)	(0.0077)	(0.0077)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0155	0.2099	0.2170
Outcome mean (separate)	0.0209	0.0209	0.0209
Joint regression	0.0084	0.0044	0.0037
	(0.0060)	(0.0080)	(0.0079)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0160	0.2101	0.2172
Outcome mean (joint)	0.0209	0.0209	0.0209
Doctorate vs. below bachelor	0.0038	0.0004	-0.0011
	(0.0060)	(0.0080)	(0.0081)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0156	0.2100	0.2171
Outcome mean (categories)	0.0209	0.0209	0.0209
Violation			
Separate regression	0.0006	0.0001	0.0006
	(0.0062)	(0.0063)	(0.0067)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0083	0.2166	0.2216
Outcome mean (separate)	0.0246	0.0246	0.0246
Joint regression	-0.0001	0.0008	0.0014
	(0.0065)	(0.0068)	(0.0070)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0089	0.2168	0.2216
Outcome mean (joint)	0.0246	0.0246	0.0246
Doctorate vs. below bachelor	-0.0046	-0.0037	-0.0027
	(0.0066)	(0.0067)	(0.0070)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0086	0.2167	0.2216
Outcome mean (categories)	0.0246	0.0246	0.0246

Notes: All specifications use the common sample and client controls plus historical exposure controls. Separate regressions include one background indicator; joint regressions include all six indicators. Education and school thresholds are nested: joint coefficients are incremental contrasts. Category rows use mutually exclusive groups and the reference group stated in the row. Column 3 includes year, client and audit firm fixed effects. Standard errors are clustered by client. Education is measured from the available snapshot; Big Four history excludes the focal client. Outcomes use a three-year disclosure window. *** p<0.01, ** p<0.05, * p<0.1.